MGT411 - Money & Banking (Quiz # 3)

Question # 10 of 10 (Start time: 11:58:19 AM, 01 July 2025)

Inflation creates which kind of risk specifically?

Select the correct option

- (●) Systematic risk
- ( ) None of above
- ( ) Non systematic risk
- ( ) Optional risk

MGT411 - Money & Banking (Quiz # 3)

Question # 7 of 10 (Start time: 11:57:17 AM, 01 July 2025)

Cash withdrawal by the general public may effect

Select the correct option

○	Size of monetary base
○	Size of balance sheet of SBP
◉	Composition of balance sheet
○	None of given

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Question # 8 of 10 (Start time: 11:57:36 AM, 01 July 2025)

High-powered money less reserves equals:

Select the correct option

○	The monetary base
◉	Currency in circulation
○	Required reserves
○	The non-borrowed monetary base

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Question # 5 of 10 (Start time: 11:56:44 AM, 01 July 2025)

Zero inflation is bad because

Select the correct option

○	None of given options
○	It increase risk of deflation
◉	Both option A(1) & B (2)
○	It increase the default of loans

MGT411 - Money & Banking (Quiz # 3)

Question # 6 of 10 (Start time: 11:56:59 AM, 01 July 2025)

The Fed lacks complete control over the money supply because it cannot perfectly predict:

Select the correct option

○	Discount borrowing by the banks
○	Shifts from deposits to currency
◉	Any of the above
○	Excess reserves held by banks

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Question # 1 of 10 (Start time: 11:54:42 AM, 01 July 2025)

---------- make the revenues from foreign sales and the Cost of purchasing imported goods hard to predict?

Select the correct option

○	Fixed exchange rate
○	Semi variable exchange rate
○	None of give option
●	Floating exchange rate

MGT411 - Money & Banking (Quiz # 3)

Question # 2 of 10 (Start time: 11:55:20 AM, 01 July 2025)

Which kind of credit by central bank is utilized by the Small agricultural banks to help in managing the cyclical nature of farmers' loans?

Select the correct option

- ○ Primary credit
- ○ Secondary credit
- ◉ Seasonal credit
- ○ None of above

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MGT411 - Money & Banking (Quiz # 3)

Question # 9 of 10 (Start time: 11:58:01 AM, 01 July 2025)

Excess reserve-to-deposit ratio is a factor that affects the quantity of money. This factor is controlled by which of the following?

Select the correct option

- ○ Bank regulators
- ◉ Commercial banks
- ○ Central bank
- ○ Non bank public

Click

MGT411 - Money & Banking (Quiz # 3)

Question # 3 of 10 (Start time: 11:55:44 AM, 01 July 2025)

The State Bank of Pakistan chooses to organize the federal funds rate by manipulating the quantity of reserves by?

Select the correct option

- (●) Open market operation
- ( ) None of above
- ( ) Discount lending
- ( ) Target Federal fund rate

MGT411 - Money & Banking (Quiz # 3) Quiz Start Time: 11:54 AM, 0

Question # 4 of 10 (Start time: 11:56:23 AM, 01 July 2025) To

When a bank has $1,000,000 in deposits and is subject to a required reserve ratio of 0.1, and it has $100,000 in vault cash and reserve deposits at the Fed is said to be:

Select the correct option

- ( ) Holding excess reserves of $100,000
- ( ) Holding total reserves of $900,000
- (●) Fully loaned up
- ( ) Holding vault cash of $100,000

Click to Save Answer & Move to Next